higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

# NATIONAL CERTIFICATE (VOCATIONAL)

## FINANCIAL MANAGEMENT
### NQF LEVEL 4

(3011014)

**15 March 2019 (Y-Paper)**
**13:00–16:00**

**Nonprogrammable calculators may be used.**

**This question paper consists of 13 pages.**

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**TIME: 3 HOURS**
**MARKS: 200**

## INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions.
2. Read ALL the questions carefully.
3. Number the answers according to the numbering system used in this question paper.
4. Show ALL calculations for part marks to be allocated.
5. Use only BLACK or BLUE ink.
6. Write neatly and legibly.

| QUESTION NUMBER | TOPIC | MARKS | RECOMMENDED TIME GUIDE |
|---|---|---|---|
| **SECTION A** | | | |
| 1 | Topic 1 – 5 | 35 | 30 Minutes |
| **SECTION B** | | | |
| 2 | Topic 1,2,& 3 | 45 | 42 Minutes |
| 3 | Topic 1,2 & 3 | 40 | 36 Minutes |
| 4 | Topic 3 & 4 | 40 | 36 Minutes |
| 5 | Topic 4 & 5 | 40 | 36 Minutes |
| **TOTAL** | | **200** | **180 Minutes** |

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## SECTION A

## QUESTION 1

1.1 Various options are given as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (1.1.1–1.1.10) in the ANSWER BOOK.

1.1.1 If a business is experiencing a cash shortage, it should …

A Apply for a bank overdraft.
B turn to gambling.
C place a lotto card.
D invest in a fixed deposit.

1.1.2 Which one of the following is NOT a current asset?

A Stock
B Debtors
C Cash and cash equivalents
D Equipment

1.1.3 When drafting a business plan, … is important to understand the customers.

A knowledge of the market
B knowledge of the financial plan
C applying for a bank overdraft
D preparing an expense budget

1.1.4 Which one of the following is NOT a measure of controlling creditors?

A Obtain regular statements
B Use discount for early payment of accounts
C Compile an age-analysis
D Pay interest

1.1.5 Fixed costs are costs that …

A reduce the total cost.
B remain constant irrespective of changes in production.
C vary from month to month.
D change as production or sales volumes changes.

1.1.6 A sole trader pays tax on its …

A taxable income.
B earnings after interest and tax.
C refundable VAT.
D penalties.

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1.1.7 The form that a sole trader completes to register with the South African Revenue Services as a taxpayer is known as the …

A IMP 201.
B VAT 201.
C IRP 5.
D IT 12C.

1.1.8 The term separate legal entity means that …

A the business is not separate from its shareholders.
B the company has a separate life from its owner.
C personal assets can be claimed by creditors.
D the debts of the company are the debts of the directors.

1.1.9 … is a source of long-term financing.

A Bank overdraft
B Finance cost
C Mortgage bond
D Trade creditors

1.1.10 The process of comparing planned income and expenditure to actual income and expenditure is called …

A budget preparation.
B budgetary control.
C corrective action.
D budget proposal.

(10 × 1) (10)

1.2 Tom sells second hand laptops at R2 500 each in a local shopping centre. He has the following monthly expenses:

| | |
|---|---|
| Shop rental | R4 000 |
| Interest on loan | R5 000 |
| Telephone | R1 200 |
| Stationery | R250 |
| Shop insurance | R300 |
| Salary | R11 000 |
| Materials to repair the laptops | R2 200 |
| Shop electricity | R1 800 |

1.2.1 Calculate the fixed costs. Show all your workings. (4)

1.2.2 Calculate the variable cost. Show all your workings. (4)

1.2.3 Briefly describe the following:

a. direct costs (2)
b. indirect costs (2)

1.3 Choose an item/a word from COLUMN B that matches a description in COLUMN A. Write only the letter (A–H) next to the question number (1.3.1–1.3.5) in the ANSWER BOOK.

| COLUMN A | | COLUMN B | |
|---|---|---|---|
| 1.3.1 | An advantage of using accounting software program in the business | A | current ratio |
| 1.3.2 | The process used to identify unpaid invoices from suppliers | B | debt ratio |
| 1.3.3 | SARS requires businesses to keep their financial records for this period of time | C | zero-rated |
| 1.3.4 | Services and goods are taxed at 0% | D | two years |
| 1.3.5 | Measures the extent of a business' a business has borrowed in order to finance its total capital (leverage) | E | creditors analysis |
| | | F | five years |
| | | G | debtors analysis |
| | | H | cost- effective |

(5 × 1) (5)

1.4 The following incomplete income and expenditure budget was extracted from the records of Seshoka Traders for 2018:

**INCOME AND EXPENDITURE BUDGET OF SESHOKA TRADERS**

| | QUARTER | | | |
|---|---|---|---|---|
| | **1** | **2** | **3** | **4** |
| **Receipts** | | | | |
| Cash sales | 346 000 | 396 000 | 450 000 | 516 000 |
| Commission received | 0 | **1.4.1** | **1.4.4** | 0 |
| Total receipts | 346 000 | 404 000 | 456 000 | 516 000 |
| **Less: Payments** | | | | |
| Direct material | 38 068 | 32 582 | 37 286 | 43 384 |
| Direct labour | 123 000 | 143 000 | 163 000 | 183 000 |
| Rent | 28 000 | 28 000 | **1.4.5** | 28 000 |
| Telephone | 2 800 | 2 900 | 3 000 | 2 800 |
| Salaries | 22 400 | 22 400 | 22 400 | 22 400 |
| Repairs | 2 240 | 2 140 | 2 240 | 2 240 |
| Electricity | 28 000 | 28 000 | 28 000 | 28 000 |
| Marketing | 0 | **1.4.2** | 0 | 0 |
| Interest paid | 8 750 | 8 750 | 8 750 | 8 750 |
| Current costs | 153 000 | 153 000 | 153 000 | **1.4.6** |
| Tax | 2 500 | 2 500 | 2 500 | 2 500 |
| Total payments | 408 758 | 689 272 | 448 176 | 466 424 |
| Surplus (deficit) | (62 758) | **1.4.3** | 7 824 | 49 576 |

*Additional information:*

- The business will receive commission during the second quarter of R8 000 and in the third quarter for R6 000.
- Current costs will be the same for the first 3 quarters and thereafter will decrease by 5%.
- During the second quarter, the business will invest in a huge marketing drive costing R266 000.

REQUIRED:

Calculate the values for the missing numbers. Write only the answer next to the question number (1.4.1 – 1.4.6) in the ANSWER BOOK. Where applicable, show all your workings to earn marks. (8)

**[35]**

**TOTAL SECTION A: 35**

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## SECTION B

## QUESTION 2

Read the extract below and answer the questions. Where applicable, show ALL the working to earn marks.

Lediba and Sentle were classmates at Orbit TVET College where they were enrolled for the NCV Finance, Economics and Accounting program. Upon completing their Level 4 studies in 2017, they had a vision of establishing their own business.

They realised that most of the small businesses in the area do not have proper accounting records. They registered their business called Dibadintle Bookkeepers. They offer bookkeeping services to small businesses in Mogwase for R200 per consultation. This fee is much lower than other bookkeeping businesses in the area.

The two former classmates have laptops which were awarded to them by the college for being the best Level 4 students in 2017. They also have savings of R5 000 each which they saved while they were studying at the college.

They are considering employing a secretary and a casual cleaner to assist them in the business.

2.1 Lediba and Sentle want to draft a business plan for their business.

Name and describe any FOUR components that must be included in the business plan. (4 × 2) (8)

2.2 Name any TWO operating expenses that Dibadintle Bookkeepers will incur in the day-to-day running of their business. (2)

2.3 Dibadintle Bookkeepers do not have enough cash flow to run their business efficiently and effectively. Capital Bank has offered them a loan of R50 000 payable within a period of five years at an interest rate of 8% per annum on the outstanding amount.

2.3.1 Calculate the principal/capital amount after two years. NOTE that payments are made at the end of the year. (3)

2.3.2 Calculate the total interest payable for THREE years should Dibadintle Bookkeepers take the loan from Capital Bank. (3)

2.3.3 Name any TWO documents that Capital Bank would require when Dibadintle Bookkeepers submit their loan application. (2)

2.3.4 Is the loan from Capital Bank a source of long-term or short-term financing for Dibadintle Bookkeepers? (1)

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2.4 Dibadintle Bookkeepers has the option of borrowing R50 000 from Lediba's uncle. The loan is payable over two years at R2 500 per month.

2.4.1 Calculate the total loan repayment for TWO years. (2)

2.4.2 Name any TWO advantages of borrowing from Lediba's uncle. (4)

2.4.3 Name any THREE characteristics of a sole trader like Dibadintle Bookkeepers. (3)

2.5 Name any TWO statutory payments that can be applicable to Dibadintle Bookkeepers. (2)

2.6 Dibadintle Bookkeepers buys printing paper from PNA Stores at R50 per ream. PNA Stores variable cost is R25 per ream and its total fixed cost is R500.

Calculate the following for PNA Stores. Show ALL your working for marks to be earned:

2.6.1 Marginal income (2)

2.6.2 Total costs of 35 reams of printing paper (3)

2.6.3 Break-even quantity. Show the formula and all the calculations. (3)

2.6.4 Variable costs of 30 reams of printing paper (2)

2.6.5 Selling price of 35 reams of printing paper (2)

2.6.6 Total cost if zero reams of paper are produced (3)

**[45]**

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## QUESTION 3

3.1 A client, Ms Shoba, seeks advice from Dibadintle Bookkeepers on purchasing a delivery vehicle for her business. She has two choices of vehicles, namely, Vehicle A and Vehicle B. The cost and cash flow to be generated by the vehicles are as follows:

| | VEHICLE A | VEHICLE B |
|---|---|---|
| Cost | R90 000 | R90 000 |
| Year | Cash Flow | Cash Flow |
| 1 | R30 000 | R20 000 |
| 2 | R30 000 | R20 000 |
| 3 | R30 000 | R20 000 |
| 4 | R30 000 | R30 000 |

3.1.1 Determine the payback period for:

(a) Vehicle A

(b) Vehicle B (2 × 4) (8)

3.1.2 Advise the client on which van he should buy. Give a reason for your answer. (3)

3.2 State ONE disadvantage of the payback period method of investment appraisal. (2)

3.3 Briefly explain TWO advantages of periodic financial reporting. (2)

3.4 Mention THREE ways in which Dibadintle Bookkeepers can control and manage their debtors. (3 × 2) (6)

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3.5 Study the following information from the records of Pelonomi Enterprises and answer the questions.

**INCOME STATEMENT FOR THE YEAR ENDED 30 JUNE 2017**

| | BUDGETED | ACTUAL |
|---|---|---|
| Turnover | 725 000 | 775 000 |
| Less: Cost of sales | (297 500) | (310 000) |
| Gross profit | 427 500 | 465 000 |
| Plus Other income | 32 750 | 33 250 |
| Rental income | 8 000 | 7 250 |
| Interest income | 24 750 | 26 000 |
| Less: Other expenses | 91 615 | 97 398 |
| Telephone | 5 700 | 6 600 |
| Advertising | 3 900 | 3 900 |
| Electricity | 13 450 | 14 273 |
| Refreshments | 2 875 | 2 375 |
| Salaries | 47 500 | 52 500 |
| Stationery and printing | 1 345 | 1 100 |
| General expenses | 1 845 | 1 650 |
| Interest on loan | 12 000 | 12 000 |
| Repairs | 3 000 | 3 000 |
| Income before tax | 368 635 | 401 452 |
| Tax | (103 218) | (112 407) |
| Net income after tax | 265 417 | 289 045 |

3.5.1 Calculate the turnover variance. State whether the variance is favourable or unfavourable. (3)

3.5.2 Calculate the electricity variance. Describe ONE possible reason for the variance. (3)

3.5.3 Name TWO expenses that do not have any variances. (2)

3.5.4 Calculate the budgeted salaries for 2018, if the salaries are expected to increase by 8% of the actual figure for 2017. (3)

3.6 Describe any TWO strengths and TWO weaknesses that Dibadintle Bookkeepers may encounter while running their business. (8)
**[40]**

## QUESTION 4

4.1 Briefly explain how the zero-based budgeting technique is applied in a business. (2)

4.2 State TWO disadvantages of the incremental budgeting technique. (4)

4.3 Name any TWO internal constraints that Dibadintle Bookkeepers could experience when running their business. (4)

4.4 Name any TWO parties for whom Dibadintle Bookkeepers' budget will be important or useful. (4)

4.5 Study the following information from the records of Itsoseng B&B and answer the questions.

**INCOME STATEMENT FOR THE YEAR ENDED 30 SEPTEMBER 2017**

| | |
|---|---|
| Revenue | 775 000 |
| Cost of sales | 310 000 |
| Gross profit | ? |
| Plus: Operating income | 33 250 |
| Income from vending machine | 26 000 |
| Interest on current account | 7 250 |
| Less: Operating expenses | 95 098 |
| Direct expenses | 52 500 |
| Indirect expenses | 42 598 |
| Net profit before tax | 403 152 |
| Tax | 112 883 |
| Net profit after tax | 290 269 |

4.5.1 Calculate the net profit percentage for Itsoseng B&B. Show the formula and round off the answer to TWO decimals. (4)

4.5.2 Compare the ratio calculated in QUESTION 4.5.1 with the net profit percentage of 42% for 2016. Give TWO possible reasons for the variance. (4)

4.5.3 Calculate the gross profit for Itsoseng B&B. (3)

4.5.4 Indirect expenses are expected to increase by 10% in 2018.

Calculate the budgeted indirect expenses for 2018. (3)

4.6 Lerato's Boutique designs ladies' suits. The business makes 2 suits each day and works 22 days a month. The selling price per suit is R800.

4.6.1 How many suits can Lerato make in a month? (2)

4.6.2 Calculate the monthly sales (in rands) if 5 suits are produced each day. (3)

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4.7 The following information was taken from the records of Itsoseng B&B:

**BALANCE SHEET OF ITSOSENG B&B AS ON 31 SEPTEMBER 2017**

| | **2016** | | **2017** | |
|---|---|---|---|---|
| | R | R | R | R |
| NONCURRENT ASSETS | | 285 000 | | 263 250 |
| Furniture and equipment | 257 250 | | 251 625 | |
| Other financial assets | 9 750 | | 11 625 | |
| CURRENT ASSETS | | 146 250 | | 201 000 |
| Inventory | 63 000 | | 86 000 | |
| Trade receivables | 57 000 | | 77 500 | |
| Cash and cash equivalents | 26 250 | | 37 500 | |
| TOTAL ASSETS | | 431 250 | | 464 250 |
| | | | | |
| OWNERS EQUITY | | 311 250 | | 374 240 |
| NONCURRENT LIABILITIES | | 75 000 | | 60 000 |
| Loan: Osbrow Bank Ltd | 75 000 | | 60 000 | |
| CURRENT LIABILITIES | | 45 000 | | 30 010 |
| Trade payables | 45 000 | | 30 010 | |
| TOTAL EQUITY AND LIABILITIES | | 431 250 | | 464 250 |

4.7.1 Calculate the solvency ratio of Itsoseng B&B for 2016. Show the formula and round off the answer to TWO decimals. (5)

4.7.2 Comment on the solvency of the business based on your answer calculated in QUESTIONS 4.7.1. (2)
**[40]**

## QUESTION 5

5.1 Name any TWO mandatory details that must be provided on a personal income tax return form. (2)

5.2 Explain the term *capital allowance* in your own words. (2)

5.3 Give TWO reasons why it is important for the citizens of a country to pay taxes. (2)

5.4 Classify the following expenses as tax-deductible or not tax-deductible and give a reason for each answer.

5.4.1 Wages were paid to the business' factory workers.

5.4.2 The business owner took his wife to dinner to celebrate Valentine's day.

5.4.3 Purchase price of a photocopier that will be used in the business.

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5.4.4 Yearly depreciation of the photocopier mentioned in QUESTION 5.4.3.

5.4.5 The owner of the business paid legal fees amounting to R2 400 to his attorneys to sue Injika Plumbers who were supposed to fix a leak but instead created a bigger one.

5.4.6 Audit fees of R4 800 that were paid by the business for auditing done by KGM Auditors.

(6 × 2) (12)

5.5 Name TWO methods/ways that individuals or businesses can use to submit their income tax returns. (2)

5.6 Briefly explain the difference between *tax evasion* and *tax avoidance.* (4)

5.7 Study the tax tables below and answer the questions.

| **TAX RATES FOR INDIVIDUALS FOR 2017** | | | | |
|---|---|---|---|---|
| **TAXABLE INCOME** | | **RATES OF TAX** | | |
| R0 | R188 000 | | | 18% of taxable income |
| 188 001 | 293 600 | 33 840 | + | 26% of income above 188 000 |
| 293 601 | 406 400 | 61 296 | + | 31% of income above 293 600 |
| 406 401 | 550 100 | 96 264 | + | 36% of income above 406 400 |
| 550 101 | 701 300 | 147 996 | + | 39% of income above 550 100 |
| 701 301 | and above | 206 964 | + | 41% of income above 701 300 |

| **TAX REBATES 2017** | |
|---|---|
| Primary | R13 500 |
| Secondary (65 and older) | R7 407 |
| Tertiary (75 and older) | R2 466 |

5.7.1 Mpho Mote is 39 years old, earns taxable income of R15 000 per month.

Calculate his tax payable for the 2017 year. (6)

5.7.2 Nthabiseng Motale is 66 years old and his taxable income is R290 000 per annum.

Calculate his tax payable for the 2017 year. (10)
**[40]**

**TOTAL SECTION B: 165**

**GRAND TOTAL: 200**

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